ECON 301 — Microeconomics

Tutorial 4 — Elasticity Practice

Monopoly output is lower and price is higher than under perfect competition.

Tax incidence depends on the relative elasticities of supply and demand.

Demand curves shift when income, tastes, or the prices of related goods change.

The marginal rate of substitution declines as we move along an indifference curve.

A production function shows the maximum output for each input combination.

The law of diminishing returns applies when extra units of a variable input are added.

Consumer surplus is the area below the demand curve and above the market price.

Total cost is the sum of fixed and variable costs at each level of output.

A competitive firm produces at the point where marginal cost equals marginal revenue.